

As the US and European markets have been the most severely hit by recession, almost all SMT manufacturers are now eyeing the Asian market, especially China and India, for growth

the Indian market, signalling that India is gearing up to become one of the electronics hardware hubs globally.

Recently, Siemens tied up with Agate & Agate to enhance its sales channel in the country. According to Siemens, "India is a fast growing SMT hub for Asia. The SMT industry is expected to continue its strong growth due to Asia's positive reception to the SMT sector. As such, Siplace India (Siemens' SMT arm in India) is aggressively stepping into the fast growing SMT industry by partnering with Agate & Agate, which offers a wide range of products and services in the areas of SMT and ESD control."

According to Frost & Sullivan, the semiconductor policy announced in early 2007 has ushered investments to the tune of \$31 billion till date spanning wafer fabrication, solar photovoltaic manufacturing and LCD panel manufacturing. The increasing demand for timely output with quality as a major aspect ensures that electronics manufacturers use the most sophisticated equipment in their process lines. This need, along with various dilutions in the tax of the equipments, enables the end users to opt for cutting-edge technology products in their process lines.

With increase in the usage of high-end products, placement and inspection equipment alone accounted for 62.7 per cent of the total SMT equipment sales in India in 2008 and are forecast to contribute nearly 63.7 per cent of the total market in 2012.

EMS will drive the SMT industry

The EMS market in Asia will grow from \$121.5 billion in 2006 to \$281.8

billion in 2011, according to market researcher In-Stat. China is expected to have a 76 per cent share of this market. Overall, Asia will account for 55.1 per cent of the global EMS market in 2011, up from 45 per cent in 2006. Even though China will dominate the EMS/ODM market, countries like India, Thailand and Vietnam will emerge as credible contenders.

Pankaj Saxena, product manager, Mectronics Marketing, says, "The recent acceleration in EMS activities in India is due to a rapid growth in all the segments of the market for electronic hardware products. The Indian electronics hardware market is expected to expand quickly from \$25 billion in 2006 to \$150 billion by year 2015 with a growth of 22-23 per cent per annum."

Realising that the electronic hardware industry has a strong potential for creating employment, especially in the SME sector, the government has taken a very laudable step in the recent Union Budget to encourage the manufacture of LCD televisions. It has reduced the basic customs duty on LCD panels from 10 per cent to five per cent to support indigenous production of LCD televisions. This move will also be welcomed by the SMT industry as it will promote the sales of SMT equipment with more EMS players encouraged to manufacture LCD televisions.

Most EMS players in India believe that India has lots of advantages that are triggering the growth of electronics manufacturing. Both Meghnad Sudhichandra Shah, managing director of Frontline Electronics, and Vinod Kinger, chairman of Donex Industries, agree that India's advantage lies in its technically

trained staff and command over English language possessed by its people. Additionally, the country's own consumption of electronic products is very high.

But along with advantages, there are a few areas that need to be addressed immediately so that India doesn't lose electronic manufacturing opportunities to other South East Asian nations.

Most of the manufacturers in India are not happy with the inverted duty structure, which allows import of most of the electronics goods at zero duty and is therefore a major deterrent for indigenous manufacturers.

"The inverted duty structure rewards import of products and one can import many products at zero duty. The point that the government fails to see is that why would anyone take the trouble of manufacturing products in India if there is zero duty," says Shah.

Subhash Goyal, managing director, Digital Circuits, says, "Disadvantages in India include the high cost of finance, power and capital goods, the rickety infrastructure, dearth of research and development (R&D), technical and component bases, high rate of taxation, procurement delays, frequent changes in government policies coupled with red-tapism and interference of government departments."

Global SMT players eyeing India

The consequences of recession are slowly surfacing in the electronics manufacturing sector. Most small and medium enterprises that had been contemplating investing in SMT machines have now become circumspect and are delaying the process or changing their mind altogether. SMT investments are exorbitant and, for the last six to eight months, have been low on profitability. So most enterprises, understandably, have become tenacious about their money, while resorting to a wait-and-watch policy.